

**BEFORE THE FEDERAL MARITIME COMMISSION
WASHINGTON, D.C.**

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INTERNATIONAL LONGSHOREMAN’S	:	
ASSOCIATION,	:	
	:	
Complainant,	:	
	:	
v.	:	FMC Docket No.: 22-12
	:	
GATEWAY TERMINALS, LLC;	:	
CHARLESTON STEVEDORING COMPANY,	:	
LLC; PORTS AMERICA FLORIDA, INC.;	:	
CERES MARINE TERMINALS, INC.; AND	:	
SSA ATLANTIC, LLC,	:	
	:	
Respondents.	:	
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RESPONSE TO ORDER TO FILE BRIEFING

Respondents Gateway Terminals, LLC (“Gateway”), Charleston Stevedoring Company, LLC (“CSC”), Ports America Florida, Inc. (“PA”), Ceres Marine Terminals, Inc. (“Ceres”), and SSA Atlantic, LLC (“SSA”) hereby respond to the Order to File Briefing dated August 18, 2022 (the “Order”). The Order directed Respondents and Complainant, the International Longshoreman’s Association (“ILA”), to submit briefing regarding whether the instant proceeding or the ILA’s requested relief implicates the sovereign immunity of the States of South Carolina and Georgia.

Respondents are not arms of a state government, and thus do not enjoy sovereign immunity under the Eleventh Amendment. However, the two state ports authorities that adopted policies requiring the consolidation of Respondents’ individual stevedoring operations into a single-provider model clearly do enjoy immunity from suit, including FMC proceedings. As a result, the Commission is unable to grant the relief that ILA seeks because the ILA’s true grievance regarding

structural changes to the stevedoring operations in those ports lies with the South Carolina Ports Authority (“SCPA”) and Georgia Ports Authority (“GPA”), but the ILA cannot join those entities to this action because of sovereign immunity. In addition, the ILA has failed to allege any facts supporting the claim that Respondents’ compliance with those state agencies’ policies is “unreasonable,” and thus the ILA has failed to state a claim against Respondents for which relief can be granted by the Commission.¹

I. LEGAL STANDARDS REGARDING STATE SOVEREIGN IMMUNITY

The Eleventh Amendment to the U.S. Constitution provides in relevant part that “[t]he Judicial power of the United States shall not be construed to extend to any suit . . . commenced or prosecuted against one of the United States by Citizens of another State” The Supreme Court has held that “state sovereign immunity bars the FMC from adjudicating complaints filed by a private party against a nonconsenting State.” The leading case regarding the application of 11th Amendment immunity principles to federal agency proceedings is *FMC v. South Carolina State Ports Auth.*, 535 U.S. 743, 756-60 (2002), which examined the characteristics of FMC adjudications and determined that the SCPA’s immunity applies in such proceedings.

The immunity enjoyed by the States extends to “arms of the State.” *Puerto Rico Ports Auth. v. FMC*, 531 F.3d 868, 872 (D.C. Cir. 2008). Cases evaluating whether an entity is an arm of the state “generally arise in three different factual settings involving: (1) agencies that are either arms of the State or political subdivisions, such as cities or counties, that are not entitled to sovereign immunity; (2) special purpose public corporations . . . established by States to perform specific functions; these may be either arms of the state or non-governmental corporations not

¹ Respondents have omitted a recitation of the facts and incorporate the facts articulated in the briefing related to their Motion to Dismiss.

entitled to sovereign immunity; and (3) Compact Clause entities established by two or more States by compact and approved by Congress. . . .” *Id.* at 872-73.

II. IMMUNITY OF SOUTH CAROLINA AND GEORGIA PORTS AUTHORITIES

In *Ristow v. South Carolina Ports Authority*, the Fourth Circuit relied upon the six factors established by the *Supreme Court in Lake Country Estates, Inc. v. Tahoe Regional Planning Agency*, 440 U.S. 391, 401, 99 S.Ct. 1171, 1177, 59 L.Ed.2d 401 (1979), in deciding whether SCPA was entitled to Eleventh Amendment sovereign immunity, specifically:

(1) the characterization of the entity by the language of its creating statutes; (2) the origin of the entity's funding; (3) whether the state is financially responsible for the liabilities and obligations incurred by the entity; (4) the source of the power to appoint the entity's officers or members; (5) whether the function performed by the entity is traditionally state or municipal; and (6) whether the entity's actions are subject to a veto by the state.

58 F.3d 1051, 1052 (4th Cir. 1995). The Eleventh Circuit Court of Appeals, with appellate jurisdiction over Georgia, considers the following factors in deciding whether a government-created entity constitutes an arm of the state: “(1) how state law defines the entity; (2) what degree of control the state maintains over the entity; and (3) from where the entity derives its funds and who is responsible for satisfying judgments against the entity.” *Vierling v. Celebrity Cruises*, 339 F.3d 1309, 1314 (11th Cir. 2003).

In *Ristow*, the Fourth Circuit held that SCPA is entitled to Eleventh Amendment sovereign immunity, 58 F.3d at 1053-54, and the Georgia Supreme Court held the same for GPA in *Georgia Ports Authority v. Lawyer*, 304 Ga. 667 (Ga. 2018). *See also Misener Marine Constr., Inc., v. Norfolk Dredging Co.*, No. CV 404-146, 2008 WL 2278132 (S.D. Ga. Mar. 28, 2008).²

² The same is not true for private entities. The majority of Circuit Courts have found that state sovereign immunity does not extend to private entities. *See generally, e.g., Del Campo v. Kennedy*, 517 F.3d 1070 (9th Cir. 2008) (declining to extend arm of the state test in evaluating whether entity contracted by district attorney’s office to run “bad check diversion program” was immune); *Fresenius Med. Care Cardiovascular Res., Inc. v. Puerto Rico*, 322 F.3d 56 (1st

In *Ristow* and *Lawyer*, the courts evaluated whether SPCA and GPA were entitled to 11th Amendment immunity and found the following facts warranted a finding that each was an arm of the state entitled to such immunity:

SPCA (*Ristow*, 58 F.3d at 1053-54):

- South Carolina had authorized and issued several series of general obligation bonds totaling \$132 million toward SPCA capital improvements;
- A portion of that indebtedness was repaid from South Carolina general tax revenues;
- South Carolina had withdrawn over \$1.5 million from SPCA pursuant to state law; and
- A judgment against it that would prevent using its earnings for capital improvements, would make SPCA dependent upon South Carolina's state treasury for these required expenditures.

GPA (*Lawyer*, 304 Ga. at 678-682):

- GPA is deemed an "instrumentality of the State of Georgia and a public corporation" by state law;
- "Georgia law clothes [GPA] with certain prerogatives, obligations, and privileges that suggested it functions as an arm of the State, including": the power to buy real property, improve harbors and seaports, stimulate shipment of freight and commerce through Georgia ports, hire peace officers;

Cir. 2003) (applying *Hess* and determining that medical entity structured by Puerto Rico was not immune from suit); *United States ex rel Barron v. Deloitte & Touche, L.L.P.*, 381 F.3d 438 (5th Cir. 2004) (finding that state's Medicaid fiscal intermediary was not entitled to 11th Amendment immunity); *Brotherton v. Cleveland*, 173 F.3d 552 (6th Cir. 1999) (finding 11th Amendment did not bar suit against doctor in his official capacity as county coroner); *Takle v. Univ. of Wisc. Hosp. & Clinics Auth.*, 402 F.3d 768 (7th Cir. 2005) (finding hospital previously part of University of Wisconsin, but spun off to be run by separate authority was not entitled to state sovereign immunity); *United States ex rel. Sikkenga v. Regence Bluecross Blueshield of Utah*, 472 F.3d 702 (10th Cir. 2006) (finding laboratory owned by University of Utah Medical Center was immune from suit), *abrogated on other grounds by Cochise Consultancy, Inc. v. United States ex rel Hunt*, 139 S. Ct. 1507 (2019). Exceptions have been made for private entities in certain situations, such as "if the entity was acting as an agent of the State or if the State would be obligated to pay a judgment against an entity in that case." *Puerto Rico Ports Auth.*, 531 F.3d at 878-79 (citing *Pennhurst State Sch. & Hosp. v. Halderman*, 465 U.S. 89, 101, n. 11 (1984) and *Shands Teaching Hosp. & Clinics, Inc. v. Beech St. Corp.* 208 F3d 1308, 1311 (11th Cir. 2000)).

- GPA is covered by the Georgia Tort Claims Act and Georgia Open Meetings Act;
- Georgia has significant control over GPA – the Governor appoints the GPA’s board; the Georgia Attorney General is the principal legal counsel to the GPA; the sale of GPA real estate requires the Governor’s approval; and the GPA’s executive director is in weekly, if not more frequent contact with the Governor’s office about GPA’s operations, among other issues;
- Major acquisitions are funded through general state obligation bonds, which are repaid from the state treasury;
- Judgments against GPA may practically impact the state’s treasury because in the event a judgment depletes the GPA’s funds, the State “ultimately would have to choose between increasing its appropriations to make up the shortfall or allowing the statutory duties of the [GPA] to go unfulfilled.”

III. THE NON-PARTY PORT AUTHORITIES ARE INDISPENSABLE PARTIES TO THIS PROCEEDING BUT IMMUNE FROM SUIT, WARRANTING DISMISSAL

Under the precedent set out above, SCPA and GPA enjoy immunity from suit, including complaint cases adjudicated before the Commission. Neither SCPA nor GPA is a party to this proceeding, but, as the Order suggests, the ILA’s requested relief would require the Commission to pass judgment on and potentially override the decisions made by both port authorities to transition their ports to a single-stevedore model to maximize operating efficiency. That policy choice by state officials resulted in the consolidation of Respondents’ competing legacy existing stevedores into the Gateway and CSC joint ventures (the “Respondent JVs”).

Based on the pleadings submitted in this docket thus far, the parties apparently agree that Gateway and CSC are both JV companies ultimately owned by Marine Terminals Corporation – East (“MTCE”),³ Ceres, and SSA, which operate in Savannah, Georgia and Charleston, South Carolina, respectively. The parties further appear to agree that, prior to 2019, MTCE, Ceres and

³ MTCE is an affiliated company of PA.

SSA each provided stevedoring services independently in both ports, but later combined their stevedoring services in Gateway and CSC. This consolidation was brought on by policy shifts by both SCPA and GPA in response to operational inefficiencies generated by multiple competing stevedoring companies working in each port. *See* Mot. to Dismiss at 3-4 (describing the formation of the Respondent JVs), and paragraphs 38-40 of the Amended Verified Complaint,⁴ which state:

38. The Proposed Agreement was drafted at the joint behest of the Georgia Ports Authority and South Carolina Ports Authority.

39. Both Ports Authorities wanted marine terminal operations to be consolidated into one provider.

40. The policymakers in South Carolina and Georgia did not want multiple marine terminal operators operating competitively in the same space in both Ports

As the ILA suggests, SCPA and GPA gave SSA, Ceres and MTCE the opportunity to consolidate their operations in a joint venture stevedoring entity in each port, enabling Respondents to maintain the continuity of existing commercial relationships and avoid any disruption in services. Each Respondent JV was licensed by the appropriate port authority, formalizing their status as the new providers of stevedoring services in each port. Given the changes in state policy in each port requiring this transition to a single provider, the joint ventures were the only pathway forward for Respondents to continue stevedoring operations in Charleston and Savannah. Because of the policies and actions of each port, Respondents are not free to simply revert back to the type of operations that were in place in 2019.

The Order effectively highlights a fatal defect in the Amended Verified Complaint. With regard to the relief sought, it appears that the ILA ultimately is seeking to invalidate the

⁴ Respondents do not agree with the allegation that the move to consolidate stevedoring operations was undertaken by the two state port authorities on a “joint” basis, however. Rather, from Respondents’ perspective the two state agencies appeared to be pursuing these new policies in parallel to deal with similar market pressures to increase throughput and enhance efficiencies in each port, but did not appear to be coordinating or otherwise acting jointly. Accordingly, Gateway and CSC were established and operate as entirely separate businesses, servicing their respective ports.

consolidation of stevedoring operations in Savannah and Charleston, thereby requiring SCPA and GPA to revert back to using multiple stevedores. However, the two port authorities with authority over stevedoring operations in the ports are not currently parties to this proceeding, and cannot be joined because, unlike Respondents, they enjoy immunity from suit. ILA brought an action against Respondents even though its grievance centers on and arises from the regulatory and policy decisions of the SCPA and GPA, regarding the structure and operations of each of those ports. Effectively, ILA has failed to join indispensable parties, and as a result the relief that ILA seeks cannot be granted. Because those parties cannot be joined, the Amended Complaint should be dismissed.

FRCP 19 states in part that a person who is subject to service of process and whose joinder will not deprive the court of subject-matter jurisdiction must be joined as a party if, in that person's absence, the court cannot accord complete relief among existing parties. However, if a person who is required to be joined cannot be joined, a court must determine whether, in equity and good conscience, the action should proceed among the existing parties or should be dismissed. The factors to consider include the extent to which a judgment rendered in the person's absence might prejudice that person or the existing parties, whether such relief would be adequate, and whether the plaintiff would have an adequate remedy if the action were dismissed for nonjoinder.

In this instance, an adverse judgment against Respondents would be profoundly unfair and prejudicial, because Respondents have been operating in compliance with the directions and policies of the state agencies with jurisdiction over the two ports, and those state agencies and policies cannot be challenged via an FMC complaint. Moreover, any prospective relief prescribed by the Commission – e.g., directing that Respondents resume operating multiple stevedoring companies within the relevant ports – would be impossible to effectuate without an order binding

the non-party port authorities; however, such an order would be impossible given their non-party status. Finally, while the relief the ILA seeks cannot be granted by the Commission, that doesn't mean that the ILA is without a remedy altogether. Any party that seeks to challenge how Georgia or South Carolina manages its ports can advance its claims and grievances in any or all branches of those state governments.

IV. COMPLAINANT'S FACTUAL ALLEGATIONS SUPPORT A FINDING OF REASONABLENESS, NOT UNREASONABLENESS, UNDER 46 U.S.C. § 41106

As noted in our motion to dismiss, even if one accepts the ILA's flawed premise that consolidation of stevedoring operations in a joint venture can constitute a "refusal to deal" or a "preference or prejudice" under the Shipping Act, the ILA still failed to meet the minimum pleading threshold, because it failed to allege facts to support a finding of "unreasonableness" under 46 U.S.C. § 41106(2) and (3). For example, the ILA failed to allege any facts supporting a finding that the actions were taken for reasons other than legitimate transportation-related factors.

The Commission noted the significance of the "unreasonableness" element in this week's advanced notice of proposed rulemaking regarding carrier refusals to deal, explaining:

Case law indicates that "reasonableness" of the refusal to deal or negotiate has historically been interpreted broadly in this context, with courts deferring to the Commission's reading of that term in administering its statutes and regulations. The Commission has previously found reasonable those decisions that are connected to a legitimate business decision or motivated by legitimate transportation factors. "Reasonableness" can be given its dictionary definition but is judged on a case-by-case basis, with particular attention paid to the relevant circumstances; the Commission has said that a just and reasonable practice is one otherwise lawful but not excessive and suited to the end in view.

Docket No. 22-24, *Definition of Unreasonable Refusal to Deal or Negotiate with Respect to Vessel Space Accommodations Provided by an Ocean Common Carrier* (Notice of Proposed Rulemaking, Sept 13, 2022), <https://www2.fmc.gov/readingroom/proceeding/22-24/>.

As noted above, in this proceeding both sides' pleadings are aligned on the fact that the stevedoring operations were integrated into the Respondent JVs in response to SCPA and GPA's policy decisions regarding consolidation of stevedoring services in their respective ports. Rather than providing any basis for a finding of unreasonableness, these uncontested allegations support a conclusion as a matter of law that Respondents acted reasonably, given that they were complying with and operating pursuant to the policies and dictates of the port authorities that controlled those facilities.

The case for a finding of reasonableness as a matter of law would seem to be at its strongest in a proceeding such as this, where the relevant port authorities are themselves arms of their respective state governments and are immune from suit. The port authorities' policies are not subject to challenge before the Commission, so Respondents must conform their operations to the states' requirements in order to continue service. We are aware of no precedent for a finding that parties' actions to conform their port operations to applicable state laws and policies may be "unreasonable" for the purposes of the Shipping Act.

V. CONCLUSION

The issue of sovereign immunity is an important factor in the disposition of this case, even though Respondents themselves are not arms of the state immunized from suit by the Eleventh Amendment. Rather, the dispositive issue is that the Commission cannot grant the relief sought because the ILA has not and cannot join SCPA and GPA. Moreover, by correctly contending that the consolidation at issue was taken to comply with the policy directives of state sovereigns, the ILA has conclusively undercut any case for unreasonableness, and thus failed to state a claim for unreasonable discrimination or refusal to deal under the Shipping Act.

For the reasons set forth above, as well as in our Motion to Dismiss and Reply in Support

of the Motion to Dismiss, Respondents respectfully request that the Commission dismiss ILA's Amended Complaint.

Dated September 15, 2022

Respectfully submitted,



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CERTIFICATE OF SERVICE

I hereby certify that the foregoing brief was provided to Complainant's counsel of record by email on this 15th day of September 2022.

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